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Case Number: 24STCV05248 Hearing Date: September 14, 2026 Dept: 730

Superior Court of

California

County of Los Angeles

Department

730

GAGE

DEVELOPMENTS I LLC, et al.

Plaintiffs,

vs.

BHS,

INC., et al.,

Defendants.

Case No.:

24STCV05248

Hearing

Date:

September 14, 2026

[TENTATIVE]

ORDER GRANTING, IN PART, AND DENYING, IN PART, MOTION FOR SUMMARY JUDGMENT

I. BACKGROUND

Plaintiffs Gage Developments I, LLC ("Gage I"), Gage Developments II, LLC ("Gage II"), and Gage Developments III, LLC ("Gage III")'s predecessor-in-interest entered into a contract with Defendants BHS, Inc. ("BHS") and Kidder Matthews of California, Inc. ("KM") for purchase of the subject property, prior to the rights to the property being assigned to Plaintiffs. Allegedly, even after signing of the contract, Defendants allowed water damage to incur to the property and hid a locked room full of chemical fumes to attempt to obtain a higher price from other buyers. These issues were allegedly concealed, breaking the terms of the purchase contract. Plaintiffs sue Defendants for breach of written contract, specific performance, fraud and deceit, negligent misrepresentation, and unfair business practices.

On June 22, 2026, BHS filed the instant motion for summary judgment, or, in the alternative, summary adjudication. Plaintiffs filed an opposition. BHS filed a reply.

II. OBJECTIONS

California Code of Civil Procedure section 437c, subdivision (q) provides: "[i]n granting or denying a motion for summary judgment or summary adjudication, the court need rule only on those objections to evidence that it deems material to its disposition of the motion. Objections to evidence that are not ruled on for purposes of the motion shall be preserved for appellate review."

A. BHS's Objections

All objections other than those articulated below are overruled. The Court rules on BHS's objections to Plaintiffs' evidence as follows:

1. Neman Decl. ¶ 6 is SUSTAINED as to lack of foundation and personal knowledge.

2. Neman Decl. ¶ 8 is SUSTAINED as to lack of foundation.

3. Neman Decl. ¶ 12 is SUSTAINED as to lack of foundation and personal knowledge.

4. Neman Decl. ¶ 14 is SUSTAINED as conflicting with previous testimony, lack of personal knowledge.

5. Neman Decl. ¶ 15 is SUSTAINED as irrelevant.

6. Neman Decl. ¶ 16, "This conducted indicated to me that Sellers had intentionally concealed the Concealed Room during the initial site visits." is SUSTAINED as argumentative.

7. Vivoli Decl. ¶ 11, "Following the site visit, and personally resigned to the notion that Plaintiffs had, in fact, been misled" is SUSTAINED as argumentative.

III. LEGAL STANDARD

A

party may move for summary judgment "if it is contended that the action has no merit or that there is no defense to the action or proceeding." (Code Civ. Proc. § 437c, subd. (a)[1].) "[I]f all the evidence submitted, and all inferences reasonably deducible from the evidence and uncontradicted by other inferences or evidence, show that there is no triable issue as to any material fact and that the moving party is entitled to judgment as a matter of law," the moving party will be entitled to summary judgment. (Adler v. Manor Healthcare Corp. (1992) 7 Cal.App.4th 1110, 1119.)

The

moving party bears an initial burden of production to make a prima facie showing of the nonexistence of any triable issue of material fact, and if he does so, the burden shifts to the opposing party to make a prima facie showing of the existence of a triable issue of material fact. (Aguilar v. Atlantic Richfield Co. (2001) 25 Cal.4th 826, 850, citing to § 437c, subd. (p)(2).) To establish a triable issue of material fact, the party opposing the motion must produce substantial responsive evidence. (Sangster v. Paetkau (1998) 68 Cal.App.4th 151, 166.)

Neither

a moving nor responding party may rely on the mere allegations or denials of its pleadings. A moving party must submit specific admissible evidence showing that the responding party cannot establish at least one element of his, her or its cause of action or defense. The responding party, to defeat the motion, must submit specific admissible evidence showing that a triable issue of material fact does exist as to that element of the cause of action or defense. (Sangster v. Paetkau (1998) 68 Cal.App.4th 151, 166.)

The

“Golden Rule” on a motion for summary judgment or summary adjudication is that “if [a fact] is not set forth in the separate statement, it does not exist.” (Zimmerman, Rosenfeld, Gersh & Leeds LLP v. Larson (2005) 131 Cal.App.4th 1466, 1477, citing United Community Church v. Garcin (1991) 231 Cal.App.3d 327, 337.).

IV. DISCUSSION

BHS requests the Court

grant summary judgment as to the entire complaint. BHS requests the Court grant summary judgment as to the first cause of action for breach of contract, as there is no evidence of breach by BHS. BHS requests the Court grant summary judgment as to the second cause of action for specific performance as Plaintiffs were not ready, willing, or able to perform. Judgment is requested as to the third cause of action for fraud and deceit as Plaintiffs do not have sufficient evidence to demonstrate actual knowledge, intent, justifiable reliance, or damages. BHS requests the Court grant judgement as to the cause of action for negligent misrepresentation as Plaintiffs cannot identify any actionable misrepresentation. BHS finally requests the Court grant summary judgment as to the cause of action for unfair business practices because it is derivative of Plaintiffs’ other failed claims. In order to prevail on a motion for summary judgment, the moving party must demonstrate there exists no triable issues of material fact; this is established by showing one or more elements of a cause of action cannot be established or by proving there is a complete defense to the cause of action. (§ 437c, subd. (p)(2).)

A. Statement
of Facts

On December 9, 2021, BHS and Cross-Defendant NewGen Capital, LLC ("NewGen"), Plaintiffs' predecessor, entered into a written Purchase and Sale Agreement ("PSA") for purchase of the property at 7222 Gage Avenue, Commerce, California 90040 ("subject property"). (UMF 2.) On or about September 20, 2022, NewGen assigned its interests in the PSA to Plaintiffs. (UMF 4.)

The PSA stated that any environmental reports, surveys, or similar documents provided by BHS to the buyer were delivered without any representation or warranty as to sufficiency, accuracy, completeness, and/or validity of said documents; the buyer was advised to retain their own consultants to review the documents and investigate the property. (UMF 14-16.) Any duty to disclose was limited to matters within BHS's actual knowledge. (UMF 18.) The PSA also stated the buyer was purchasing the property in existing condition. (UMF 16.) The maintenance clause limited BHS's obligation to maintaining the property in present condition. (UMF 17.) In the event of post-agreement damage or loss, the buyer either could terminate the agreement or proceed with the purchase without adjustment to purchase price. (Ibid.)

The PSA also required the buyer to deposit all remaining funds to close escrow/show proof of funds no later than 2:00 p.m. on the business day immediately preceding the scheduled closing date. (UMF 20.) If BHS was in default or indicated it would not perform, the buyer was not obligated to deposit funds and instead may show evidence of available funds to preserve the buyer's rights. (UMF 21.) Pursuant to contract, the buyer wired the first non-refundable deposit of \$500,000.00 on December 16, 2021. (UMF 5.)

BHS provided disclosures to the buyer on December 10, 2021. (UMF 22.) The Property Information Sheet expressly disclosed the use of paint on the premises as a stored hazardous substance. (UMF 22.) On December 21, 2021, BHS provided the buyer with a copy of BHS's Phase I environmental Site Assessment Report, which noted "wood staining and painting" were on-site operations. (UMF 23.) During the contingency period, the buyer investigated the property by retaining a contractor and environmental consultant to conduct a physical inspection and Phase I environmental site assessment on January 6, 2022. (UMF 25.) The contractor's report identified roof conditions, including water damage and cracks, that warranted roof replacement. (UMF 27-28.) The environmental site

assessment report identified the presence of drums of paint and spray paint booths but did not expect they posed any environmental concern. (UMF 29-30.) Neither report alleged there were any concealed or inaccessible areas. (UMF 34.)

Following these assessments, the buyer sought to renegotiate purchase price, requesting a reduction of \$500,000.00 based on the roof conditions. (UMF 7.) BHS declined to modify the price; the buyer elected to proceed and removed all contingencies on January 24, 2022. (UMF 8-9.) The buyer's representative deposited an additional non-refundable \$500,000.00 into escrow. (UMF 9.)

From November 2021 to December 2023, Plaintiffs conducted at least five walkthroughs of the subject property; during that time, Plaintiffs never objected that any area was concealed, restricted, or inaccessible. (UMF 34.) On December 20, 2023, Plaintiffs attempted to commence a second environmental site assessment without notice, almost two years after the buyer had waived all contractual contingencies. (UMF 9, 32, 37.)

Pursuant to Plaintiffs' request, the closing date was set for January 18, 2024. (UMF 10.) Therefore, Plaintiffs were required to demonstrate the ability to close escrow no later than 2:00 p.m. on January 17, 2024. (UMF 20-21.) Plaintiffs did not deposit the purchase price or provide proof of funds to BHS on this date. (UMF 12.) BHS subsequently issued a five-business-day notice to close escrow on March 5, 2024, pursuant to PSA. (UMF 11.) Plaintiffs did not cure nonperformance within the notice period. (UMF 12.) Therefore, the PSA was terminated on March 12, 2024. (UMF 13.)

B. Lack
of Proper Opposition Separate Statement

The Court cannot weigh any evidence presented by Plaintiffs outside of the scope of dispute as Plaintiffs have failed to present a proper separate statement in support of Plaintiffs' offered evidence.

California Rules of Court
rule 3.1350, subdivision (e), provides that an opposition motion for summary judgment or adjudication must include a separate statement in opposition to the

motion. California Rules of Court rule 3.1350 subdivision (f)(3) requires that is an opposing party contends additional material facts are pertinent to the motion, these facts must be set forth in a separate statement, complete with evidentiary cites.

Plaintiffs' separate statement

is in violation of California Rules of Court rule 3.1350, subdivision (f), as it does not provide a separate statement outlining any of the additional material facts allegedly pertinent to the motion. Throughout Plaintiffs' opposing papers, Plaintiffs cite directly to declarations that are not affirmatively included in Plaintiffs' separate statement, only as vague 'disputes' to BHS's own separate statement. For example, Plaintiffs relied in part upon a visit to the property by Michael Vivoli ("Vivoli"), Plaintiffs' attorney, who allegedly discovered a concealed room: "Vivoli, then counsel for Plaintiffs, personally observed at a joint site visit attended by BHS's counsel and Robert An that the door to that area was obstructed from view and locked; that there was no outward indication of any separate space behind it; that he could not open it; and that no paint or industrial odor was detectable from close range until the doors were opened. (Vivoli Decl. ¶ 10.)" (Opp., p. 4 ¶¶ 20-24.) Although Vivoli Decl. ¶ 10 is cited multiple times within the disputed portion of the separate statement, nowhere within those sections is there any mention of a lack of paint or odor until it was opened. Plaintiffs failed to provide a separate statement that accurately contains all facts alleged.

"The purpose of the law of

summary judgment is to provide courts with a mechanism to cut through the parties' pleadings in order to determine whether, despite their allegations, trial is in fact necessary to resolve their dispute. [Citation.]" (Aguilar v. Atlantic Richfield Co. (2001) 25 Cal.4th 826, 843.) To that end, the rules dictating the content and format for separate statements submitted by moving and responding parties "permit trial courts to expeditiously review complex motions for . . . summary judgment to determine quickly and efficiently whether material facts are disputed." (United Community Church v. Garcin (1991) 231 Cal.App.3d 327, 335.) "The realization of this goal is so important that the Legislature has determined '[f]ailure to comply with this requirement of a separate statement may constitute a sufficient ground, in the court's discretion, for granting the motion.' (§ 437c, subd. (3).)" (Collins v. Hertz Corp. (2006) 144 Cal.App.4th 64, 73 [citing to former numbering of §437c, subd. (b)(1); see §437, subdivision (b)(1) "The failure to comply with this requirement of a separate statement may in the court's discretion constitute a sufficient ground for denying the motion."].)

Therefore, the Court only evaluates evidence explicitly offered in the separate statement in dispute of BHS's proffered undisputed material facts.

C. First

and Second Causes of Action – Breach of Written Contract / Second Cause of Action – Specific Performance

BHS argues Plaintiffs'

cause of action for breach of contract fails, as a matter of law, as BHS performed the terms of the contract. "To prevail on a cause of action for breach of contract, the plaintiff must prove (1) the contract, (2) the plaintiff's performance of the contract or excuse for nonperformance, (3) the defendant's breach, and (4) the resulting damage to the plaintiff." (Richman v. Hartley (2014) 224 Cal.App.4th 1182, 1186.)

BHS argues that both the alleged roof condition and hazardous paint condition were pre-existing and fully disclosed. The roof condition was preexisting, not the result of failure to maintain the property in its present condition. Similarly, the paint condition existed at the time of contract formation. The evidence shows the buyer was on notice of both the roof condition and paint condition at the latest by January 7, 2022. BHS explicitly disclosed the existence of paint and wood-staining substances, later confirmed by the buyer's own investigators. Substantial roof damage was noted and accepted by the buyer after BHS refused to alter the terms of the contract. BHS argues any later identified roof conditions are 'untenable' as proof of BHS's failure to maintain, as a full roof replacement was already required.

Plaintiffs do not dispute

Plaintiffs' contractors identified the roof conditions and recommended replacement. However, Plaintiffs argue that this was only indicative of the state of the roof at the time, and not at close of escrow. Plaintiffs allegedly relied upon statements by BHS's agent that BHS had regularly maintained the roof and that the roof did not leak; it is unclear when these statements were made. This is irrelevant for purposes of determining breach of written contract, as it is uncontested Plaintiffs were allowed to perform their own investigation and accepted the terms of the agreement again after this investigation.

Plaintiffs also do not dispute that information regarding paint and paint-staining was made available to them by both BHS's report and Plaintiffs' own investigation. Plaintiffs only assert that the investigation report was "completed without the benefit of inspecting the door to the area adjacent to the cabinet shop that was locked and inaccessible to Plaintiffs." (Opp., Neman Decl. ¶ 6.) However, Neman provided no explanation as to how he was aware the investigation did not include the allegedly 'concealed' area. Neman did not cite the report or conduct the investigation himself; he is unable to attest to the breadth of the report. There is no evidence that establishes Plaintiffs were prevented from completing a full investigation prior to acceptance of the contract, in full.

Furthermore, BHS argues that Plaintiffs, not BHS, failed to perform contractual obligations, as Plaintiffs failed to deposit all required funds or demonstrate it had funds available to preserve its rights, as required by contract. Plaintiffs also do not dispute this fact.

Based upon admissible evidence, the Court does not find any dispute of material fact as to the cause of action for breach of written contract. All evidence demonstrates BHS disclosed known information and allowed Plaintiffs to conduct thorough investigations prior to complete acceptance of the contract. Plaintiffs understood the property was being offered as-is and agreed to continue with the purchase, even after these investigations. There is no evidence of additional damage accruing throughout the escrow period that would violate contract. Therefore, the Court grants summary judgment on this cause of action.

Similarly, this argument applies also to the cause of action for specific performance. Specific performance is an equitable remedy only available for a party who has fully performed all conditions precedent, has only partially failed to perform and said failure is immaterial or capable of being fully compensated, or can otherwise show it was ready, willing, and able to perform its contractual obligations. (Civ. Code § 3392; Behniwal v. Mix (2005) 133 Cal.App.4th 1027, 1044–1045.) As Plaintiffs failed to make the required payment or otherwise demonstrate it was capable of making the required payment, Plaintiffs did not satisfy the requirements for specific performance. The Court grants summary judgment as to this cause of action.

D. Third

Cause of Action – Fraud / Fourth Cause of Action – Negligent Misrepresentation

BHS

first argues that Plaintiffs' fraud claim improperly repackages Plaintiffs' contractual claim as a fraud claim, despite there being no evidence of independent duty or intentional misrepresentation independent from contract. "When evaluating whether the parties' expectations and risk allocations [in contract] bar tort recovery, the court must consider the alleged facts. First, applying standard contract principles, it must ascertain the full scope of the parties' contractual agreement, including the rights created or reserved, the obligations assumed or declined, and the provided remedies for breach. Second, it must determine whether there is an independent tort duty to refrain from the alleged conduct. Third, if an independent duty exists, the court must consider whether the plaintiff can establish all elements of the tort independently of the rights and duties assumed by the parties under the contract." (Rattagan v. Uber Techs., Inc., (2024) 17 Cal. 5th 1, 26.)

BHS argues that all alleged misrepresentation and failure to disclose stem from the requirements of the contract to disclose. "California decisions ... have long recognized that a wrongful act committed in the course of a contractual relationship may afford both tort and contractual relief, and in such circumstances the existence of the contractual relationship will not bar the injured party from pursuing redress in tort." (Rattagan, 17 Cal. 5th at p. 24, quoting Tameny v. Atlantic Richfield Co. (1980) 27 Cal.3d 167, 174-175.) "[T]he public policy of ensuring certainty in contract relations must give way when a party engages in affirmative misrepresentation fraud during contractual performance because '[n]o rational party would enter into a contract anticipating that they are or will be lied to.' " (Rattagan, 17 Cal.5th at p. 42, quoting Robinson Helicopter Co. v. Dana Corp. (2004) 34 Cal.4th 979, 993.) As BHS allegedly intentionally misrepresented the conditions of the property during contractual performance, exceeding the bounds of contract, the Court must evaluate whether Plaintiffs have a viable intentional misrepresentation claim.

"The

elements of fraud that will give rise to a tort action for deceit are: " '(a) misrepresentation (false representation, concealment, or nondisclosure); (b)

knowledge of falsity (or 'scienter'); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage.' " (Engalla v. Permanente Medical Group, Inc. (1997) 15 Cal.4th 951, 974.)

Here, the evidence does not show any misrepresentation, as BHS timely disclosed the existence of paint and wood-staining material on the property. The evidence also does not show any intent to defraud, as there is no evidence demonstrating BHS knew of any undisclosed condition. Finally, the evidence does not show Plaintiffs justifiably relied upon BHS's alleged misrepresentation. The buyer conducted their own investigations which confirmed the existence of paint and roof damage; The buyer discussed these issues with BHS and requested a lower price. When BHS refused and stated the buyer could abandon the contract, the buyer opted to proceed with the contract. In total, the evidence indicates Plaintiffs cannot present a viable cause of action for fraud. Therefore, the Court grants summary judgment as to this cause of action.

Similarly, the cause of action for negligent misrepresentation also fails as there is no evidence of any misrepresentation or justifiable reliance. "Negligent misrepresentation requires an assertion of fact, falsity of that assertion, and the tortfeasor's lack of reasonable grounds for believing the assertion to be true. It also requires the tortfeasor's intent to induce reliance, justifiable reliance by the person to whom the false assertion of fact was made, and damages to that person. An implied assertion of fact is 'not enough' to support liability." (SI 59 LLC v. Variel Warner Ventures, LLC (2018) 29 Cal.App.5th 146, 154.) As there is no evidence of misrepresentation or justifiable reliance, the Court also grants summary judgment as to this claim.

E. Fifth

Cause of Action - Unfair Business Practices

BHS next argues that Plaintiffs' cause of action for violation of Business and Professions Code section 17200, et seq. ("UCL"), is subject to summary judgment as it is entirely derivative of other claims, does not cite any specific underlying statutory violation, and does not identify any specific recoverable restitution or unjust enrichment. The UCL identifies unfair competition as any unlawful, unfair, or fraudulent business act or practice. (Bus. & Prof. Code § 17200.) Each category represents a separate and distinct basis for liability. (Id.; Beaver v. Tarsadia Hotels

(9th Cir. 2016) 816 F.3d 1170, 1177.)

BHS argues that Plaintiffs' UCL claim is entirely derivative of the other causes of action and therefore fails as a matter of law. While it is true that if the predicate statutory claims fail as a matter of law, the UCL claim may also, that is only if that is the sole alleged basis of the UCL claim. (Aleksick v. 7-Eleven, Inc. (2012) 205 Cal.App.4th 1176, 1185.) Here, the complaint also argues that the business practices were unfair and fraudulent, not simply unlawful. (SAC ¶¶ 46-47.) BHS offers no analysis tailored to the unfair or fraudulent prongs of the claim, therefore failing BHS's burden to demonstrate that Plaintiffs' UCL claims are barred by law.

BHS also argues that Plaintiffs' complaint failed to allege any particular benefit which BHS supposedly acquired that must be returned. However, failure to state these allegations in the complaint is not a sufficient basis for the Court to grant summary judgment. BHS has not demonstrated that Plaintiffs are incapable of presenting evidence upon which restitution can be derived, making Plaintiffs' claims barred as a matter of law.

Therefore, the Court denies summary judgment as to this cause of action.

V. CONCLUSION

Defendants

BHS, Inc.'s motion for summary judgment is GRANTED as to the first four causes of action and denied as to the last.

BHS is to give notice.

DATED:

September 14, 2026

Hon. Alexander C.D. Giza

Judge of the Superior Court

PLEASE TAKE NOTICE:

- Parties are encouraged to meet and confer after reading this tentative ruling to see if they can reach an agreement.
- If a party intends to submit on this tentative ruling, the party must send an email to the court at SMCDEPT730@lacourt.org with the Subject line "SUBMIT" followed by the case number. The body of the email must include the hearing date and time, counsel's contact information, and the identity of the party submitting.
- Unless all parties submit by email to this tentative ruling, the parties should arrange to appear remotely (encouraged) or in person for oral argument. You should assume that others may appear at the hearing to argue.
- If the parties neither submit nor appear at hearing, the Court may take the motion off calendar or adopt the tentative ruling as the order of the Court. After the Court has issued a tentative ruling, the Court may prohibit the withdrawal of the subject motion without leave.

[1] Undesignated

statutory references are to the Code of Civil Procedure.